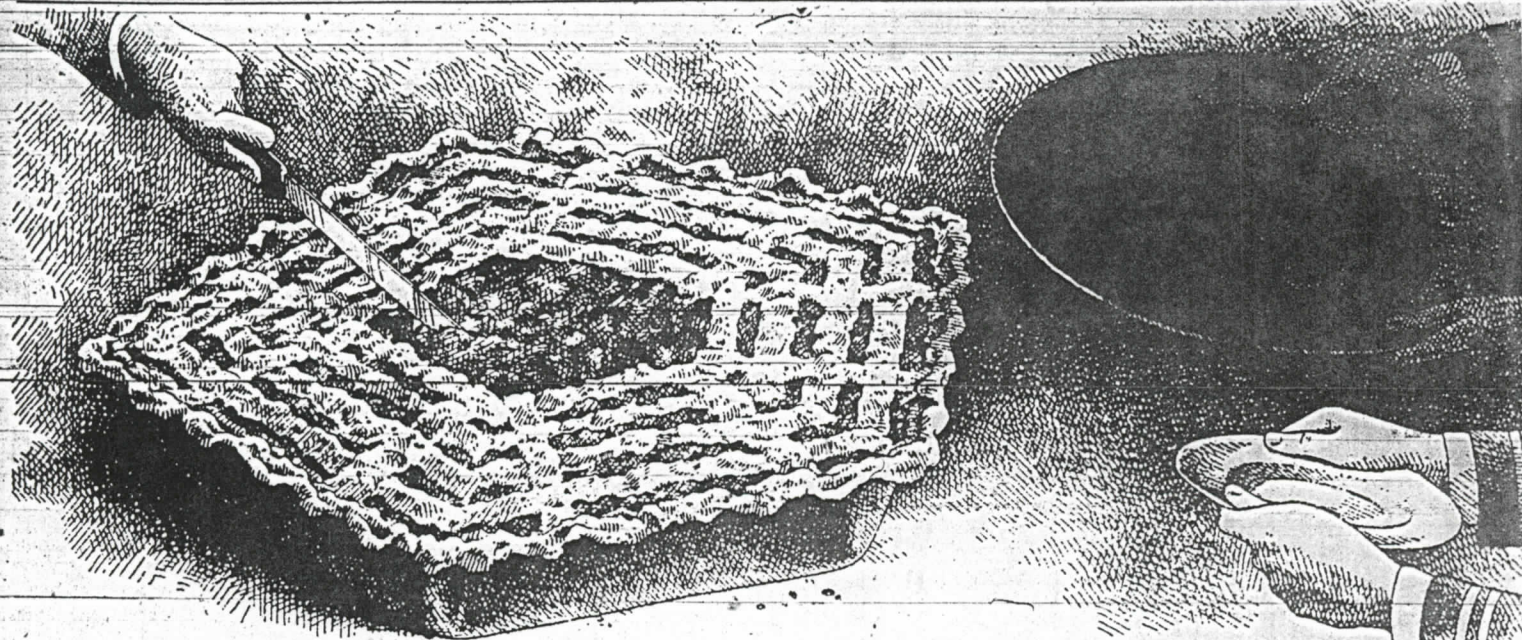


A LOOK AT...

The Pentagon's New Priorities



BY TOM HERZBERG FOR THE

The Budget You Can't See

In a Shrinking Defense Pie, the Stealth Slice Is Growing Thicker Each Year

By Bill Sweetman

LATE IN May, on a bright afternoon in Dayton, Ohio, a group of engineers in their fifties and sixties posed happily for cameras in front of a strange blue airplane, with a bluff nose and tapering, flipper-like tail that had earned it the nickname Whale. It could have been the public debut of any new aircraft, with one exception: the plane had been completed 14 years earlier. The Whale, a prototype radar plane officially known only as Tacit Blue, had made its first flight in 1982 and its last flight in 1985 when somebody eliminated its mission. The Air Force won't tell you where it spent the next 11 years because the Whale is a creature of the military's "black world," in which tens of thousands of people work on projects in an environment of pervasive, rigorous secrecy.

The massive growth of a clandestine military was one of the most criticized features of the Reagan-Bush defense build-up. Over 12 years, hundreds of billions of dollars were spent in secret on airplanes and spacecraft, on test facilities and bases and on covert operations. With the end of the Cold War and a new administration, some people predicted that the Pentagon might cut back and bring these projects into the light.

They were wrong. Under the Clinton administration, clandestine projects are still expensive and still secret. That part of the black military budget that can be glimpsed stands at more than \$14 billion—close to its 1980s peak. But this is mostly for research and development as well as some production. It does not include undiscoverable billions spent for operations, support and construction projects.

Pushing this trend is a Pentagon led by a substantial number of civilian and military officials

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with extensive black budget experience. Starting with Secretary of Defense William Perry, they believe that the clandestine development of costly, high-tech weapons is the best way to provide the United States with a battlefield advantage. Coming at a time when much other military spending is declining, the effect is a shift in Pentagon priorities that has not been debated.

For instance, under the Clinton administration's budget request for next year, the Air Force—which has historically handled the bulk of black programs—plans to spend two-thirds more on secret research and development than it did under the last budget that George Bush sent to Congress, a \$2.1 billion increase. Clinton wants to spend another \$5.9 billion of the Air Force budget on producing secret weapons, a small reduction from the last Bush budget, but more than offset by the surge in research.

In 1997, almost 40 cents of every dollar that the USAF will spend on equipment will be spent on secret projects. The secret Air Force spends 25 percent more on weapons development than the entire United States Army.

The same trend is repeated, to a lesser degree, in the Navy. Despite generally lower budgets, the Navy still spends a relatively steady \$1.6 billion a year on secret research projects.

You won't find these numbers in a public document, but it is possible to estimate the cost because some of the figures are only thinly concealed in the unclassified version of the Pentagon budget. Three methods are used:

■ In the research and development budget, the line items listed for "operational systems development" do not add up to the total for that section. The difference—\$4.8 billion in the Air Force budget—is accounted for by classified programs.

■ Generic line items cover many programs. The best example is the "Selected Activities" line in the Air Force procurement budget: At \$4.67 billion, it is the largest line item in the

entire budget. It is much more than the Air Force will spend on buying airplanes.

■ Some programs are listed but carry code names. The Air Force uses a random Pentagonese name generator to produce "Advanced Program Evaluation" or "Special Evaluation System" while the Navy hits the garden-center catalog for "Link Laurel" and "Retract Maple."

Where all this money goes is a deepening mystery. In the 1980s and early 1990s, most secret spending went for two items: stealth aircraft and satellites developed by the National Reconnaissance Office (NRO). But the biggest stealth projects—such as the B-2 and F-117—have been brought into the white world. At the same time, satellites last longer—something which may explain the drop in secret production funds. It is hardly surprising that many people do not believe the CIA and the Air Force when they deny the existence of large programs like the rumored 4,000-mph Aurora spyplane.

The key number is the surge in research and development—which often precedes much larger spending when it comes time to build the weapons. Every morning in Las Vegas, between 700 and 1,000 people board anonymous 737 jetliners and fly to Area 51, the Nevada flight-test base which has been the home of classified airplane projects since 1955. In 1992, McDonnell Douglas set up the Phantom Works to pursue classified research and development projects. Its success is one of the reasons why the company's Pentagon business has stayed high despite the winding down of orders for its fighters.

Lockheed Martin's renowned Skunk Works employs 4,000 people—even though the only aircraft it is known to have built since 1990 are two small spy drones. The Air Force's research campus at Wright-Patterson Air Force Base, in Dayton, is bustling. Construction continues on a new office complex—a strange sight in the midst of a defense drawdown. And these are no ordinary offices: with nine-inch-thick internal doors, two basement levels with

separate staircases, and high-security video-conference facilities.

There is no doubt that part of what the black budget is paying for is aircraft that are as yet undisclosed. Area 51 was significantly expanded just after the Whale—its most recent known resident—ended its flying career. Another enigma centers on the secure air base at Tonopah, Nev., where the F-117 Stealth fighter became operational in 1983. Just after the Gulf War, the Stealth fighters were evicted, and moved to Holloman Air Force Base in New Mexico. Yet Tonopah is still active.

Support for these ventures comes from the top. When Les Aspin, Clinton's first defense secretary, conducted a "bottom-up" spending review in September 1993, he left secret programs unscathed. When Aspin unexpectedly resigned after less than a year, Clinton turned to Aspin's deputy, William Perry, a defense entrepreneur. Sometimes called "the godfather of Stealth," Perry had been instrumental in the development of the first stealth airplanes—as a key member of President Carter's Pentagon team in the late 1970s.

During Perry's tenure, the upper Pentagon ranks have filled with people who have similarly long backgrounds in classified programs. Paul Kaminski, the senior official in charge of Pentagon research, was Perry's special assistant on the stealth programs. Air Force Secretary Sheila Widnall is a former trustee of the Aerospace Corp. in Los Angeles, a low-profile non-profit company which manages many of the Air Force's classified space projects. The Air Force's senior official in charge of research and development, Arthur Money, came to the Pentagon after 23 years at ESL, the electronic surveillance equipment company that Perry had founded.

In the uniformed services, Gen. Joseph Ralston, the new vice chairman of the Joint Chiefs of Staff, was a member of the small Pentagon team which developed the F-117 concept in 1976-79. Arthur Money's uniformed counterpart is Lt. Gen. George Muelner, former commander of the Air Force's 6513th Test Squadron—one of its classified flight-test units. The first operational stealth fighter unit, the 4450th Tactical Group,

existed for only six years and was normal Air Force wing—yet several group and squadron commanders are also.

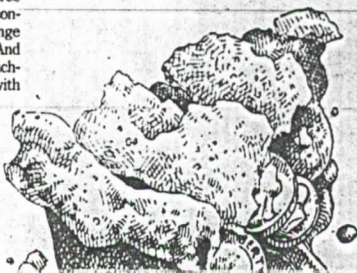
The White House has been coaxed by the Pentagon's requests in expansion world. Take the case of Area 51. The Air Force refuses to admit it exists even in graphs of the base have appeared in magazines. When the Air Force declassifies two tracts of public land that overlaid the Department of the Interior was to play. When an attorney filed a lawsuit some Area 51 workers who claim injured by toxic materials, Pres. signed an "exemption," telling a district court judge that the Air Force disclose any documents relating to it.

The direct cost of this secrecy. Between 10 and 15 percent of the program is absorbed by security in the establishment of separate financial systems for every project. Flying people to work every morning Blue-Was unveiled, one of the programs told me that Pentagon undercover assigned to contact the spouses of the program, attempting to find out if a law the law by answering the question was your day at work, dear?

Accountability is the real issue. national security and intelligence theory, oversee black programs. Just fact that the NRO has confessed to a \$4 billion in surplus funds, this over less than effective. It does not cover all black projects—the "waivers" which are secret even from the com.

The black world prospers and b more established while a complian tion overrides the judiciary at its Pentagon's leaders are immersed in briefs a few members of Congress cleared into some—but not all of i and who lack the data and the tin map the secret labyrinth.

Most citizens accept the need fo times of crisis. And most would acc for the country to pursue tech throughs sheltered from prying ey question is whether a secret milita such a thriving, unaccountable insti the security of the nation is less th it has been for decades.



A Misguided Missile Ship